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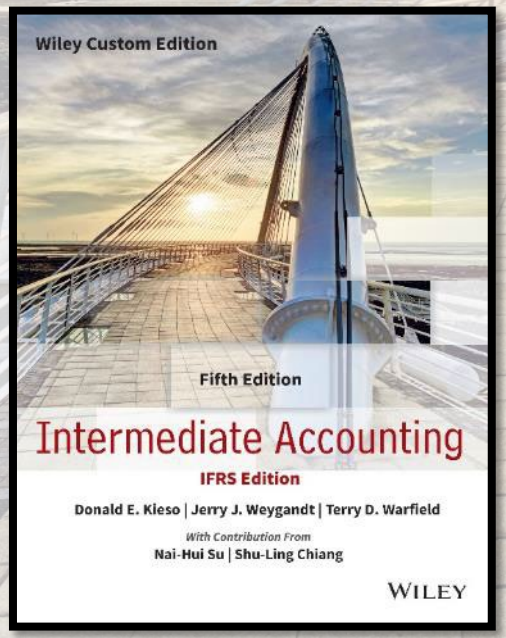
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# Intermediate Accounting IFRS Edition

**Kieso, Weygandt, Warfield**

Fifth Edition

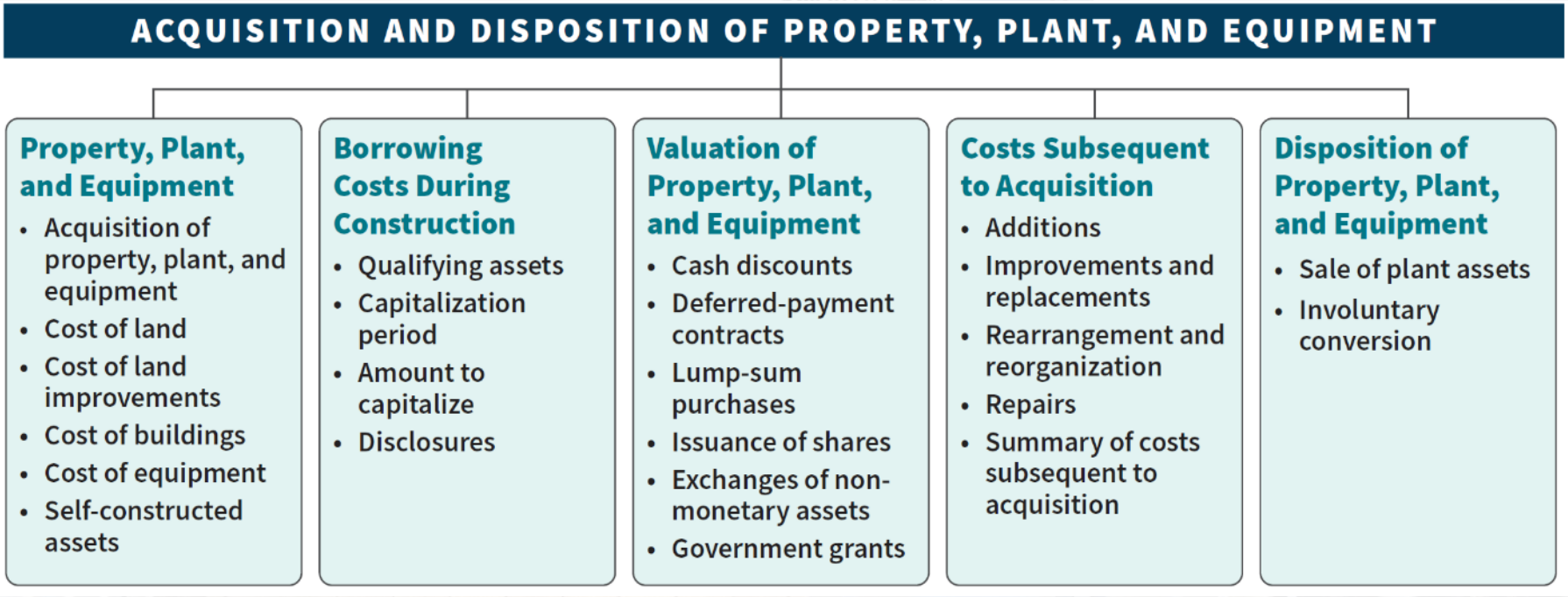
## Chapter 7




# Acquisition and Disposition of Property, Plant, and Equipment

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# PREVIEW OF CHAPTER 7




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# Property, Plant, and Equipment

**Property, plant, and equipment** are assets of a durable nature. Other terms commonly used are **plant assets** and **fixed assets**.

- **"Used in operations"** and not for resale.
- **Long-term** in nature and usually depreciated.
- Possess **physical substance**.
  - **Includes**:
    - Land,
    - Building structures (offices, factories, warehouses), and
    - Equipment (machinery, furniture, tools).


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# Acquisition of PP&E

**Historical cost** measures the cash or cash equivalent price of obtaining the asset and bringing it to the location and condition necessary for its intended use.

- In general, costs include:
  1. Purchase price, including import duties and non-refundable purchase taxes, less trade discounts and rebates.
  2. Costs attributable to bringing the asset to the location and condition necessary for it to be used in a manner intended by the company.
- Companies value property, plant, and equipment in subsequent periods using either the
  - cost method or
  - fair value (revaluation) method.


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# Acquisition of PP&E

## Cost of Land

**All expenditures** made to acquire land and ready it for use. Costs typically include:

1) purchase price;
2) closing costs, such as title to the land, attorney's fees, and recording fees;
3) costs of grading, filling, draining, and clearing;
4) assumption of any liens, mortgages, or encumbrances on the property; and
5) additional land improvements that have an indefinite life.


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# Acquisition of PP&E

## Cost of Land Improvements

- Land improvements are structural additions with limited lives that are made to land. Some examples include:
  - Driveways.
  - Parking lots.
  - Fencing.
  - Lighting.
  - Landscaping with a limited life, such as plants, trees, sprinkler systems, and retaining walls for planting beds.
- **Improvements with limited lives** are recorded as **Land Improvements** and depreciated.


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# Acquisition of PP&E

## Cost of Buildings

**Includes all expenditures** related directly to acquisition or construction. Costs include:

- materials, labor, and overhead costs incurred during construction and
- professional fees and building permits.

Companies consider all costs incurred, from **excavation to completion,** as part of the building costs.


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# Acquisition of PP&E

## Cost of Equipment

**Equipment** includes assets used in operations. The cost of equipment consists of:

- Store checkout counters, office furniture, factory machinery, and delivery trucks .
- Cash purchase price plus sales taxes.
- Freight or shipping charges.
- Insurance during transit paid by the purchaser.
- Assembling, installing, and testing the equipment.


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# Acquisition of PP&E

## Self-Constructed Assets

**Costs include:**

- Materials and direct labor
- Overhead can be handled in two ways:
  1. Assign no fixed overhead.
  2. Assign a portion of all overhead to the construction process.

Companies use the second method extensively.


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# Interest Costs During Construction

- Three approaches have been suggested to account for the interest incurred in financing the construction.

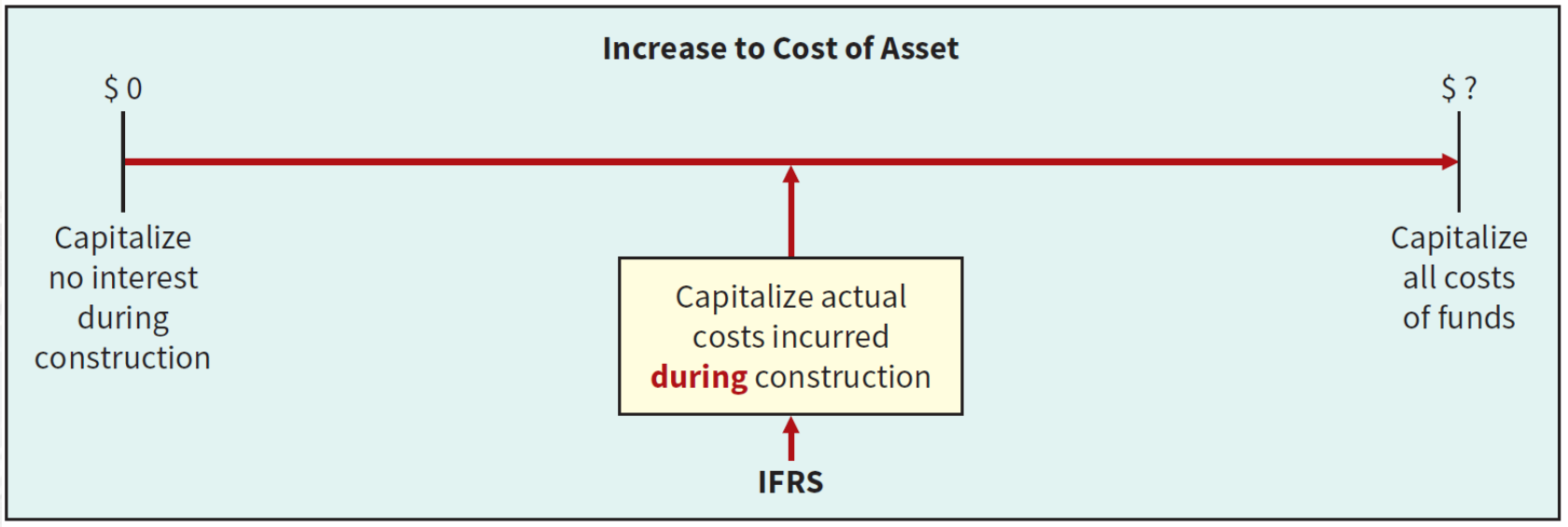



**ILLUSTRATION 7.1**


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# Interest Costs During Construction

## IFRS

- **IFRS** requires — capitalizing actual interest (with modification).
- Consistent with historical cost.
- Capitalization considers three items:
  1. Qualifying assets.
  2. Capitalization period.
  3. Amount to capitalize.


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# Interest Costs During Construction

## Qualifying Assets

Require a substantial period of time to get them ready for their intended use or sale.

**Two types** of assets:

- Assets under construction for a company's own use.
- Assets intended for sale or lease that are constructed or produced as discrete projects.


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# Interest Costs During Construction

## Capitalization Period

**Begins when:**

1. Expenditures for the assets are being incurred.
2. Activities for readying the asset for use or sale are in progress.
3. Interest costs are being incurred.

**Ends when:**

The asset is substantially complete and ready for use.


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# Interest Costs During Construction

## Amount to Capitalize

**Capitalize** the lesser of:

1. Actual interest cost incurred.
2. **Avoidable interest** - the amount of interest cost during the period that a company could theoretically avoid if it had not made expenditures for the asset.


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# Amount to Capitalize

## Weighted-Average Accumulated Expenditures

In computing the weighted-average accumulated expenditures, a company weights the construction expenditures by the amount of time (fraction of a year or accounting period) that it can incur interest cost on the expenditure.


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# Amount to Capitalize

## Interest Rates

**Selecting Appropriate Interest Rate:**

1. For the portion of weighted-average accumulated expenditures that is less than or equal to any amounts borrowed specifically to finance construction of the assets, **use the interest rate incurred on the specific borrowings.**
2. For the portion of weighted-average accumulated expenditures that is greater than any debt incurred specifically to finance construction of the assets, **use a weighted average of interest rates incurred on all other outstanding debt during the period.**


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# Valuation of Property, Plant, and Equipment

Companies should record property, plant, and equipment:

- at the fair value of what they give up or
- at the fair value of the asset received,

whichever is more clearly evident.


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# Valuation of PP&E

- **Cash Discounts** — Discounts for prompt payment.
- **Deferred-Payment Contracts** — Assets purchased on long-term credit contracts are valued at the present value of the consideration exchanged.
- **Lump-Sum Purchases** — Allocate the total cost among the various assets on the basis of their relative fair market values.
- **Issuance of Shares** — The market price of the shares issued is a fair indication of the cost of the property acquired.


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# Exchanges of Non-Monetary Assets

Ordinarily accounted for on the basis of:

- the fair value of the asset given up or
- the fair value of the asset received,

whichever is clearly more evident.

Companies should recognize immediately any gains or losses on the exchange when the transaction has **commercial substance.**


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# Meaning of Commercial Substance

Exchange has **commercial substance** if the future cash flows change as a result of the transaction. That is, if the two parties' **economic positions change,** the transaction has commercial substance.



| Type of Exchange | Accounting Guidance |
|---|---|
| Exchange has commercial substance. | Recognize gains and losses immediately. |
| Exchange lacks commercial substance. | Defer gains and losses. |

**ILLUSTRATION 7.8**


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# Exchanges of Non-Monetary Assets

## Loss Situation (Has Commercial Substance)

- Companies recognize a loss if the exchange has commercial substance.
- **Rationale:** Companies should not value assets at more than their cash equivalent price. If the loss were deferred, assets would be overstated.


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# Exchange of Non-Monetary Assets

## Gain Situation (Has Commercial Substance)

- Company usually records the cost of a non-monetary asset acquired in exchange for another non-monetary asset at the **fair value of the asset given up,** and immediately recognizes a gain.


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# Government Grants

- **Government Grants** are assistance received from a government in the form of transfers of resources to a company in return for past or future compliance with certain conditions relating to the operating activities of the company.
- **IFRS** requires grants to be recognized in income **(income approach)** on a systematic basis that matches them with the related costs that they are intended to compensate.


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# Costs Over the Life of an Asset (Car)

## Example

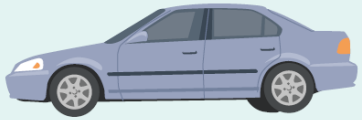
| |  |  |
|---|---|---|
| Examples of costs | To maintain car in normal working order:<br>• Oil change<br>• Repair/replace tires<br>• Replace windshield | To increase the life or operating efficiency of the car:<br>• New transmission<br>• New suspension system<br>• New battery for a hybrid car |
| Accounting treatment of these costs | Expense when incurred. | Capitalize (debit) the asset (car) account and depreciate over the remaining useful life of the asset. |
| Accounting definition | **Revenue expenditures**—Maintain a given level of service and do not increase an asset's future benefits. | **Capital expenditures**—Achieve greater future benefits for the asset, such as increased useful life, enhanced quality of output, or increased quantity of output. |

**ILLUSTRATION 7.19**


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# Costs Subsequent to Acquisition

- **Recognize costs subsequent to acquisition** as an asset when the costs can be measured reliably and it is probable that the company will obtain **future economic benefits.**
- **Evidence** of future economic benefit would include increases in
  1. useful life,
  2. quantity of product produced, and
  3. quality of product produced.


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# Costs Subsequent to Acquisition

## Major Types of Expenditures

- **Additions.** Increase or extension of existing assets.
- **Improvements and Replacements.** Substitution of a better or similar asset for an existing one.
- **Rearrangement and Reorganization.** Movement of assets from one location to another.
- **Repairs.** Expenditures that maintain assets in condition for operation.


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# Summary of Costs Subsequent to Acquisition of Property, Plant, and Equipment

| Type of Expenditure | Normal Accounting Treatment |
|---|---|
| Additions | Capitalize cost of addition to asset account. |
| Improvements, and replacements | Remove cost of and accumulated depreciation on old asset, recognizing any gain or loss. Capitalize cost of improvement/replacement. |
| Rearrangement and reorganization | Expense costs of rearrangement and reorganization costs as expense. |
| Repairs | (a) **Ordinary:** Expense cost of repairs when incurred.<br>(b) **Major:** Remove cost and accumulated depreciation of old asset, recognizing any gain or loss. Capitalize cost of major repair. |

**ILLUSTRATION 7.20**


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# Disposition of Property, Plant, and Equipment

A company may retire plant assets voluntarily or dispose of them by

- Sale,
- Exchange,
- Involuntary conversion, or
- Abandonment.

Depreciation must be taken up to the date of disposition.


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# Involuntary Conversion

- Sometimes an asset's service is terminated through some type of **involuntary conversion** such as fire, flood, theft, or condemnation.
- Companies report the difference between the amount recovered (e.g., from a condemnation award or insurance recovery), if any, and the asset's book value as a gain or loss.
- They treat these gains or losses like any other type of disposition.


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# Introduction to Investment Property

- **Definition:** Property (land and/or buildings) held to earn rentals or for capital appreciation.

- **Exclusions:** Not for production/supply of goods/services, administrative purposes, or sale in the ordinary course of business.


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# Recognition and Initial Measurement

**Recognition Criteria:**

- Cost can be measured reliably.
- Probable future economic benefits.

**Initial Measurement :**

- Measured at cost on acquisition:
  - Purchase
  - Self-construction
  - Exchange transaction


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# Subsequent Measurement Models

**Cost Model:**

- Initial cost less accumulated depreciation and impairment losses.
- Annual impairment review and test.

**Fair Value Model:**

- Measured at fair value, no depreciation.
- Gains/losses recognized in profit or loss.


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# Example - Hakodate Group

**Purchase Details:**

- Office building cost: $800,000 (land: $500,000, building: $300,000).
- Depreciation: Straight-line over 30 years, zero residual value.

**Fair Value Assessment (Dec 31, 2026):**

- Land: $580,000, Building: $280,000.


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# Investment Property Entries for Cost/Fair Value Model

| Cost Model | | | Fair Value Model | | |
|---|---|---|---|---|---|
| **Purchased the investment property (January 1, 2026):** | | | | | |
| Investment Property—Land | 500,000 | | Investment Property—Land | 500,000 | |
| Investment Property—Building | 300,000 | | Investment Property—Building | 300,000 | |
| Cash | | 800,000 | Cash | | 800,000 |
| **Depreciation expense (December 31, 2026):** | | | | | |
| Depreciation Expense | 10,000 | | | | |
| Accumulated Depreciation —Investment Property—Building ($300,000 ÷ 30 years) | | 10,000 | (No entry) | | |
| **Revaluation adjustment (December 31, 2026):** | | | | | |
| | | | Fair Value Adjustment—Investment Property—Land | 80,000 | |
| (No entry) | | | Fair Value Adjustment—Investment Property—Building | | 20,000 |
| | | | Gain on Fair Value Adjustment—Investment Property | | 60,000 |

**ILLUSTRATION 7A.1**


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# Key Considerations and Judgment

**Ancillary Services:**

- Significant services may disqualify as investment property.

**Classification Consistency:**

- Develop criteria for consistent judgment.

**Change in Use:**

- Transfer property based on change in use and definition compliance.


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